

Module 1: Indian Contracts Act-1972: Introduction, Objectives, Definition of a Valid Contract, Offer and Acceptance, Capacity to Contract, Consent, Consideration, Performance of Contracts, Discharge of Contracts, Breach of Contract and Quasi Contracts.

1.1 Indian Contracts Act-1972: Introduction

The Indian Contract Act 1872

The law of contract in India contained in Indian Contract Act 1872, which is based on English common Law. It extends to whole of India except the state of Jammu and Kashmir. It came into force on the first Sep. 1872. The Act lays down general principles governing all contracts, but not the rights and duties of the parties. The rights and duties are decided by the parties themselves.

Scheme of the Act: - The scheme can be divided into two main groups:

1. General principles of the law of contract.
2. Specific kinds of contracts –
 - a. Indemnity and Guarantee
 - b. Contracts of Bailment and Pledge
 - c. Contract of Agency.

Meaning and Definition of an Agreement: An Agreement consists of an offer by one party and its acceptance by other. In other words, an agreement comes into existence only when one party makes a proposal to the other party and that other party gives acceptance.

Agreement = Proposal + Acceptance of proposal

According to Section 2(e) of Indian Contract Act 1872 “Every promise and every set of promises, forming the consideration for each other is an obligation.”

Meaning and Definition of a Contract:

A contract is a promise or set of promises for the breach of which the law gives a remedy or the performance of which the law in some way recognize as duty. In other words, a contract is

an agreement the object of which is to create a legal obligation. The contract consists of two elements:

1. An agreement and
2. Legal Obligation i.e. enforceability by law.

Contract = an Agreement + enforceability by law.

According to Section 2(h) of the Indian Contract Act 1872 “An agreement enforceable by law is a contract.”

1.2 Objectives

The primary objective of the Indian Contract Act, 1872 is to define the law relating to contracts, ensuring that agreements are entered into voluntarily, fairly, and with a clear understanding of rights and obligations. It provides a legal framework for forming, performing, and enforcing contracts, ensuring that promises are honoured and remedies are available for breach of contract.

Key Objectives :

- **Establish Legal Structure:** To define the rules regarding offer, acceptance, consideration, and capacity to contract.
- **Ensure Enforceability:** To provide a mechanism to enforce agreements legally, fostering certainty in commercial transactions
- **Promote Fairness:** To prevent fraud, coercion, misrepresentation, and undue influence in agreements.
- **Provide Remedies:** To lay down consequences and remedies (e.g., compensation, damages) if a party breaches a contract.
- **Regulate Specific Contracts:** To govern specific types of contracts such as indemnity, guarantee, bailment, pledge, and agency.

The Act aims to secure business relationships and ensure that legal obligations are upheld, contributing to economic and commercial stability.

1.3 Definition of a Valid Contract

A valid contract is a legally binding and enforceable agreement between two or more parties that meets all necessary legal requirements, such as those in Section 10 of the Indian Contract Act, 1872. Key elements include a clear offer and acceptance, mutual consent, lawful consideration, capacity to contract, and a lawful object.

Essential Elements of a Valid Contract

According to Sec. 10, all agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object and are not expressly declared to be void. All agreements are not contracts. Only that agreement which is enforceable at law is a contract. In order to become a contract, an agreement must have the following essential elements:

1. Offer and Acceptance: In order to create a valid contract, there must be two or more parties because an individual cannot enter into an agreement with himself. It implies that one party makes a lawful proposal (offer) and the other party makes a lawful acceptance of the offer. The term lawful means offer and its acceptance must confirm to the rules laid down in the Indian Contract Act regarding valid offer and acceptance and its communication. For example, if Kumar makes a proposal to sell his house to Mahesh for Rs. 50,00,000 and Mahesh accepts the proposal, there will be a valid agreement between the two.

2. Intention to Create Legal Relationship: When two parties enter into an agreement, their intention must be to create legal relationship between them. If there is no such intention on the part of the parties, there is no contract between them. Agreements of a social or domestic nature do not contemplate legal relationship, as such they are not contracts.

3. Lawful Consideration: An agreement to be enforceable by law must be supported by consideration. 'Consideration' means an advantage or benefit moving from one party to the other. For a valid contract, the consideration need not necessarily be in terms of a price — the consideration can even be in the past, present or future – but the consideration needs to be real and lawful. [Secs. 2 (d), 23 and 25]. As per Section 2 (d), “when at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing an act, such act or abstinence or promise is called a consideration for the promise”.

4. Competency or Contractual Capacity of Parties: The parties to the agreement must be legally competent to enter into a valid contract. According to Section 11 of the Act, every person is competent to contract if he:

- (a) is of the age of majority,
- (b) is of sound mind and
- (c) is not disqualified from contracting by any law to which he is subject.

If a party suffers from any flaw in capacity, the agreement is not enforceable except in some special cases.

5. Free and Genuine Consent: It is essential to the creation of every contract that there must be free and genuine consent of the parties to the agreement. According to Section 13, the consent of the parties is said to be free when they are of the same mind on the material terms of the contract. The parties are said to be of the same mind when they agree about the subject matter of the contract in the same sense and at the same time. The identity of views is the prerequisite.

If such identity is not there, no agreement is possible. As per section 14, consent is said to be free when it is not caused by coercion or undue influence or fraud or mis-representation or mistake.

6. Lawful Object: The object of an agreement must be lawful. Object has nothing to do with consideration. It means the purpose or design of the contract. Thus, when one hires a house for use as a gambling house, the object of the contract is to run a gambling house. The object is said to be unlawful if —

- a) it is forbidden by law;
- b) it is of such nature that if permitted it would defeat the provisions of any law;
- c) it is fraudulent;
- d) it involves an injury to the person or property of any other and
- e) the court regards it as immoral or opposed to public policy.

7. Certainty of Meaning: According to Section 29, agreements the meaning of which is not certain or capable of being made certain are void. The terms of the contract must be precise and certain and not vague or indefinite. A contract may be void on the ground of uncertainty. For example, a purported acceptance of an offer to buy lorry on hire-purchase terms does not constitute a contract if the hire-purchase terms are never agreed.

8. Possibility of Performance: If the act is impossible in itself, physically or legally, it cannot be enforced at law.

9. Agreement not Declared Void or Illegal: The agreement though satisfying all the conditions for a valid contract must not have expressly declared void by any law in force in the country. Agreements mentioned in Sections 24 to 30 of the Contract Act have been expressly declared void for example agreements in restraint of trade, marriage, legal proceedings, etc.

10. Legal Formalities: An oral contract is a perfectly valid contract, except in those cases except where writing, registration, etc. is required by some statute. In India, writing is required in cases of sale, mortgage, lease and gift of immovable property, negotiable instruments, memorandum and articles of association of a company, etc. Registration is required in case of documents coming within the scope of section 17 of the Registration Act.

If an agreement does not meet the above criteria, then it cannot be a contract. It will remain an agreement.

1.4 Offer and Acceptance

OFFER:

Meaning and Definition of Offer:

The primary element of a valid contract is an agreement between the parties to the contract. An agreement comes into existence by a lawful offer by one party and lawful acceptance by the other party. An offer is a proposal by one party to another to enter into a legally binding agreement with him. According to Section 2 (c), “the person making the proposal is called the ‘promisor’ or offeror or proposer; the person to whom it is made is called the offeree or proposee and the person accepting the proposal is called the ‘promisee’ or acceptor.” The British refer to it as ‘offer’ but in the Indian Contract Act, it is called a ‘proposal’.

According to Section 2 (a) of the Indian Contract Act, “when one person signifies to another his willingness to do, or to abstain from doing, anything with a view to obtaining the assent of the other to such act or abstinence, he is said to make a proposal”.

A person making the proposal expresses that he is willing to contract on the terms stated in it provided the other party to whom the proposal is made will likewise express his assent to the same terms. Section 2 (a) reveals three essential elements in an offer:

- i) Expression of willingness to do or not to do something,
- ii) made to another person i.e., a person cannot make an offer to himself,
- iii) with the object of gaining the consent of the other person to such act or abstinence.

Types of Offer

Offers or proposals may be classified on the basis of —

- 1) How an offer is made?
- 2) To whom an offer is made?

1. How an Offer is made: An offer may be either express or implied from the conduct of the parties.

a) Express Offer: An express offer is one which may be made by words spoken or written such as letter, telegram, telex, fax message, e-mail or through internet. For example, when A offers to sell his dissection box to B for Rs. 400, it is an express offer.

b) Implied offer: An implied offer is one which may be gathered from the conduct of the party or the circumstances of the case. Stepping into a local bus, consuming eatables at a restaurant, shining shoes by a shoe shiner, without being asked to do so etc. create implied promises to pay for the benefits enjoyed.

2. To Whom an Offer is made: An offer may be made to —

- a) a particular person or a particular group or body of persons,
- b) the public at large i.e., the whole world.

a) Specific Offer: An offer made to a definite person or a body of persons is called a specific offer. A specific offer can usually be accepted only by the person or persons to whom it is made.

b) General Offer: When an offer is addressed to the whole world, it is called a general offer. A general offer is accepted by anyone.

For example, where A promises to give Rs. 100 to B if he brings back his missing horse, this is a specific offer and can only be accepted by B; but if A issues a public advertisement to the effect that he would give Rs. 500 to anyone who brings back his missing horse, such an advertisement amounts to a general offer and member of the public can accept the said offer by searching for and bringing back A's missing horse.

3. Positive and Negative Offers: A person may express his willingness to do something or to abstain from doing something e.g., it may be an offer to construct a wall to provide privacy or not to construct a wall so that free passage of light and air may not be obstructed.

4. Cross Offers: When two parties make identical offers to each other, in ignorance of each other's offer, such offers are known as cross offers. They shall not constitute acceptance of one's offer by the other.

Essentials of a Valid Offer

An offer becomes legally valid when it satisfies the following essential conditions:

1. Offer must be Capable of Creating Legal Relations: While making the offer, the aim of the offeror should be to primarily create a legal obligation. An offer that creates only social or moral obligation does not constitute a valid agreement or contract. A proposal to go to picnic or to play a cricket match does not create a legal obligation – it is not legally binding on the person making the proposal or the one who is accepting it. For example, if A invites B for lunch but, for some reason, is not at home when B comes for lunch, it does not have any legal obligation for A and B cannot sue A for not keeping his commitment because an invitation to lunch is a social affair and does not create a legal obligation for either party. An offer, therefore, must be such as would result in a valid contract when it is accepted.

2. Offer must be Certain, Definite and not Vague: No contract can come into existence if the terms of the offer are vague or loose and indefinite. Both the parties should be clear about the legal consequences arising out of contract. An indefinite or vague proposal is not a proposal from the legal point of view and its acceptance cannot create any contractual relationship. If A offers to B to take his building on a two-year lease if B repairs it thoroughly and 'furnishes it according to the latest style', it cannot be said to constitute an offer because it is too vague to result in a contractual relationship.

3. Offer must be communicated to the Offeree: There can be no offer by a person to himself. An offer, to be complete, must be communicated to the person to whom it is made so that he can accept or not accept the offer. Unless the offer is communicated by the offeror (or by his agent) to the offeree, there can be no acceptance of the offer and as such, no agreement can be reached. An acceptance of an offer, in ignorance of the offer, is no acceptance and does not confer any right on the acceptor. If M has announced a reward to anyone who returned his lost dog. P brought the dog to M without having heard of the offer. Held P was not entitled to the reward [Fitch v. Snedaker, (1868) 38N.Y.288]

4. Offer must be made with a view to obtaining the assent: An offer must be distinguished from mere expression of intention. The offer to do or not to do something must be made with a view to obtaining the assent of the other party addressed and not merely with a view to disclosing the intention of making an offer.

5. Offer should not contain a term the non-compliance of which may be assumed to amount to acceptance: One cannot say while making the offer that if the offer is not accepted before a certain date, it will be presumed to have been accepted. For example, where S writes to P, “I will sell you my horse for Rs. 4,000 and if you do not reply, I shall assume you have accepted the offer”, there is no contract if P does not reply. However, if P is in possession of S’ horse at the time the offer is made and he continues to use the horse thereafter, P’s silence and his continued use of the horse amount to acceptance on his part of the terms of S’s offer.

6. An Offer may be Conditional: An offer can be made subject to a condition. In that case, it can be accepted only subject to that condition. A conditional offer lapses when the condition is not accepted. Thus, a conditional offer by the management of a company to the trade union to pay a certain amount lapses when the condition is not accepted. A contract formed on a conditional offer is valid. In recent times, however, the courts have adopted certain protective measures for the aggrieved persons. Conditional offers are invalid where the terms are unreasonable or the offeree is unaware of the terms.

7. Lapse of an Offer: An offer lapses

- a) if either offeror or offeree dies before acceptance.
- b) if it is not accepted within i) the specified time or (ii) a reasonable time, if no time is specified.
- c) if the offeree does not make a valid acceptance, for example makes a counter offer or conditional acceptance or if a particular manner of acceptance has been requested, he accepts in some other manner for example by sending a letter by mail when a reply by hand was requested.
- d) an offer can also lapse by revocation. A person who makes an offer can withdraw it at any time before acceptance. A proposal may be made for a fixed period. The offer will automatically expire if it has not been accepted till then. Where no time limit has been specified, the offer will lapse after a reasonable time.

8. An invitation to offer is not an offer: An offer must be distinguished from an invitation to

offer. In the case of an invitation to offer the aim is merely to circulate information of readiness to negotiate business with anybody who on such information comes to the person sending it. Such invitations are not offers in the eyes of law and do not become promises on acceptance. A price list is not an offer to sell the goods at the listed prices. It is an attempt to induce offers and not an offer in itself.

9. Communication of Special Conditions: When special terms and conditions are to be attached in a contract, they must not only be specifically stated but also communicated to the concerned party. It is the duty of the person who delivers a document to give adequate notice to the offeree of the terms and conditions contained in the document. When this is not done, the acceptor will not be bound by such terms. For example, a transport company accepts goods of A for being carried without any conditions. Subsequently it issues a circular to the consignors limiting its liability for the goods damaged or lost in transit. G is not bound by this condition since it is not communicated to him prior to the date of contract.

ACCEPTANCE:

Meaning and Definition of Acceptance

Acceptance of an offer is of primary importance for a valid agreement. When the offeree or the person to whom the offer is made, gives his acceptance, the offer is said to be accepted. An offer becomes a promise or an agreement only after its acceptance.

According to Section 2 (b) of the Indian Contract Act, “when the person to whom the offer is made signifies his assent thereto, the offer is said to be accepted. An accepted proposal is called a promise or an agreement”.

According to Sir William Anson, “An acceptance is to an offer what a lighted match is to a train of gun-powder. Just as a lighted match will blast a train load with gunpowder, an offer becomes an agreement after its acceptance”.

Except where a proposal prescribes a particular mode of acceptance, the acceptance may be made in several different ways. Acceptance may be express or implied. When acceptance is made by words, spoken or written, it is an express acceptance. If it is accepted by conduct, it is an implied acceptance.

When an offer is made to a particular person, it can only be accepted by the person to whom it is made. Acceptance by any other person is not a valid acceptance. But if it is a general offer, then anybody can accept it.

Essentials of a Valid Acceptance

Acceptance of an offer is the very essence of a contract. As per the sections of the Act and the precedents set by court decisions, the legal rules as to acceptance are mentioned as under:

1. Acceptance must be absolute and unconditional: It must confirm with the offer. If it does, the offer or proposal becomes a promise. The acceptance, in order to be binding, must be absolute and unqualified [Sec. 7 (1)] in respect of all terms of the offer, whether material or immaterial, major or minor. A qualified acceptance is not a contractual acceptance. If the terms of acceptance are different from the terms of offer, it is termed as a counter offer and is not recognized by law as an acceptance until the original offeror accepts the qualified terms. If A offers to sell his land for Rs. 5,00,00 and B accepts the offer and encloses a cheque for Rs. 50,000 with a promise to pay the balance by monthly instalments of Rs. 15,000 each, it would not mean a contract between the two as the acceptance is unconditional.

2. Acceptance must be Communicated to the Offeror: To conclude a contract between the parties, the acceptance must be communicated to the offeror. If the acceptance is not communicated, the acceptance is not valid in terms of law. A mere resolve or mental determination on the part of the offeree to accept an offer, when there is no external manifestation of the intention to do so, is not sufficient [*BhagwanDassKedia v. GirdhariLal*, A.I.R (1966) S.C.543].

3. Acceptance must be made within a reasonable time: Acceptance to be valid must be made within the time allowed by the offeror and if no time is specified, it must be made⁴ within a reasonable time. What is a reasonable time is a question of fact depending on the particular circumstances? Acceptance may be made at any time till the offer is alive. Acceptance made after the offer has been withdrawn is invalid.

4. Acceptance must be made according to the mode prescribed or usual or reasonable mode: Acceptance has to be made in the manner prescribed or indicated by the offeror. Section 7 (2) states that if the acceptance is not made in the manner prescribed, the proposer may within a reasonable time after the acceptance is communicated to him, insist that the acceptance must

be made in the manner prescribed. Failure on the part of the offeror to do so will imply that he has accepted although it is not in the desired manner. Where no mode of acceptance is prescribed, acceptance must be expressed in some usual and reasonable manner. Acceptance by mail is a very reasonable manner in such cases.

5. The Acceptor must be aware of the proposal at the time of the offer: Acceptance follows offer. If the acceptor is not aware of the existence of the offer and conveys his acceptance, no contract comes into being. There must be a knowledge of the offer before anyone could consent to it. An act done in ignorance of the offer of a reward cannot be called an acceptance.

6. Acceptance must be given before the offer lapses or before the offer is revoked: It means that acceptance must be made while the offer is in force i.e., before the offer has been revoked or offer has lapsed. A prospective resignation to quit a post is an offer and it can be withdrawn before the resignation is accepted by a competent authority. [Union of India vs. Gopal Chandra, AIR 1978 Sec694].

7. Acceptance cannot be implied from silence: No contract is formed if the offeree remains silent and does nothing to show that he has accepted the offer. The acceptance of an offer cannot be implied from the silence of the offeree or his failure to answer, unless the offeree has by his previous conduct indicated that his silence means that he accepts. Rakesh told Shyam, “I offer you my car for Rs. 2,00,00. If you don’t reply me in 15 days’ time, I shall assume that you accept the offer.” Shyam kept silent. Held, there was no contract.

by letter sent by post. The communication of the acceptance is complete as against A, when the letter is posted, as against B when the letter is received by A.

COMMUNICATION OF OFFER, ACCEPTANCE AND REVOCATION

A valid contract does not result from mere mental proposal and its mental acceptance. An offer and its acceptance are pre-requisites for a valid contract. When the contracting parties are physically present and negotiate in person, an agreement comes into existence the moment the offeree gives his absolute and unqualified acceptance to the proposal made by the offeror. Problems arise when the parties are at a distance and the proposal and its acceptance need to be communicated between the two.

According to Section 3 of the Indian Contract Act, the communication of an offer, its acceptance and revocation are deemed to be made by an act or its omission by the party offering, accepting or revoking. Such act or omission must have the effect of communicating such offer, acceptance or revocation.

A. Communication of an Offer (Section 4)

According to Section 4, the communication of a proposal is complete when it comes to the knowledge of the person to whom it is made. For example, P proposes by letter to sell a house to S at a certain price. The communication of the proposal is complete when b receives the letter.

B. Communication of Acceptance (Section 4)

Communication of an acceptance is complete—

- a) as against the proposer when it is put in course of transmission to him, so as to be out of power of the acceptors to withdraw the same.
- b) As against the acceptor when it comes to the knowledge of the proposer.

For example, A proposes by a letter to sell a house to B at a certain price. B accepts A's proposal

The main difference the two is that the proposer is bound as soon as the acceptance letter is posted but the acceptor is not bound till the letter is received by the proposer. In other words, the acceptor has the option to revoke his acceptance of the proposal before it is received by the proposer.

C. Communication of Revocation of Proposal (Section 5)

Revocation implies 'taking back', 'recalling' or 'withdrawal'. It may be a revocation of the offer or acceptance. The communication of revocation is complete in the following situations:

- i) As against the person who is revoking: A proposal may be revoked at any time before the communication of its acceptance is complete, as against the proposer, but not afterwards.
- ii) As against the person to whom it is made: As against the person to whom the revocation is made, it is complete, when it comes to his knowledge.

An offer can be revoked before acceptance and an acceptance can be revoked before its communication. Therefore, the communication of revocation of acceptance must reach the offeror before acceptance.

MODES OF REVOCATION OF AN OFFER (SECTION 6):

An acceptance of proposal needs to be made effective before it lapses. After the proposal has lapsed, no law can enforce its acceptance. According to Section 6 of the Act, a proposal may be revoked in any of the following ways:

1. By Notice: Section 4 and 5 of the Contract Act clearly stipulate that a proposer can revoke his proposal before the completion of the acceptance by sending a notice of revocation. Such notice needs to be clear and unambiguous and can be by word of mouth, by letter, telegram or telephone or it can be through behavior and action. The notice for the revocation of an offer should be communicated by the person who has made the offer or by his authorized representative.

2. By Lapse of Time: A proposal will come to an end by the lapse of time prescribed in such proposal for its acceptance or, if no time is so prescribed by the lapse of reasonable time. A reasonable time could be a few hours or it could be a week or more depending upon the circumstances of each case. Where the subject matter of the contract is an article, like gold, the prices of which fluctuate daily in the market, very short period will be regarded as reasonable. Where a person applied for shares of a company in June, he cannot be bound by an allotment made late in November.

3. By Non-fulfilment of an Essential Precedent: If the offeror has set a condition precedent to the acceptance of the offer, such condition needs to be met for a valid acceptance of the proposal. Non-fulfilment of an essential pre-condition nullifies the proposal and its acceptance. Thus, X may offer to sell certain goods to Y on a condition that Y pays a certain amount before a certain date. The proposal is revoked if Y fails to pay the requested amount within given time.

4. By Death or Insanity of the Proposer: A proposal is revoked by the death or insanity of the proposer if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance. If the offer is accepted in ignorance of the death or insanity of the offeror, the acceptance is valid. According to English law, even if an offer is accepted in ignorance of the death of the offeror, it still cannot constitute a contract.

5. By Counter Offer: An offer comes to an end when the offeree makes a counter offer or rejects the offer. Where an offer is accepted with some modification in the terms of the offer or with some other condition not forming part of the offer, such qualified acceptance amounts to a counter offer. An offer once rejected cannot be revived. For example, X offers to sell his

house to Y for Rs.10, 000. Y replies offering to pay Rs. 8, 000. X refuses. Subsequently Y writes accepting the original offer has lapsed.

6. By the non-acceptance of the offer according to the prescribed or usual mode: The offer will also stand revoked if it has not been accepted according to the mode prescribed. According to Section 7, it is the duty of the offeror to inform the offeree that the acceptance does not meet the conditions prescribed in the offer. If the offeror does not do that and keeps quiet, he is deemed to have accepted the acceptance of the offer.

7. By subsequent Illegality: An offer lapses if it becomes illegal after it is made and before it is accepted. If there is a change in law that makes the contract contemplated by the offer illegal or incapable of performance, the offer comes to an end.

1.5 Capacity to Contract

Meaning of Capacity to Contract Capacity or competence to contract means legal capacity of parties to enter into a contract. In other words, it is the capacity of parties to enter into a legally binding contract.

Who are Competent to Contract?

Every person is legally competent to contract if he fulfills the following three condition:

- i. He has attained the age of majority;
- ii. He is of sound mind; and.
- iii. He is not disqualified from contracting by any other law to which he is subject

1) MINORS

Any person, who has not attained the age of majority prescribed by law, is known as minor. Section 3 of the Indian Majority Act prescribes the age limit for majority and says a minor is a person who has not completed eighteen years of age. But the same Act also mentions that in the following two cases a person attains majority only after he completes his age of twenty-one years:

- (i) Where a Court has appointed guardian of a minor's person or property or both (under the Guardians and Wards Act, 1890); or
- (ii) Where the minor's property has been placed under the superintendence of a Court of wards.

2) PERSONS OF UNSOUND MIND A person is said to be of sound mind for the purpose of making a contract (a) if he is capable of understanding the contract at the time of making it, and (b) if he is capable of making a rational judgment as to the effect upon his interests. Types of Persons of Unsound Mind and their Contracts:

1. Idiot
2. Lunatic
3. Delirious persons
4. Drunken or intoxicated persons
5. Hypnotized persons
6. Mental decay

3) PERSONS DISQUALIFIED BY OTHER LAWS There are certain persons who are disqualified from contracting by the other laws of our country. They are as under:

1. Alien enemy
2. Foreign sovereigns, diplomatic staff etc.
3. Corporations and companies
4. Insolvents
5. Convicts

Rules /effects as to or Nature of Minor's Agreements:

1. Void ab-initio: - Minor's agreement is absolutely void from very beginning, i.e. void ab-initio. It is nullity in the eye of law. An agreement with minor, therefore, can never be enforced by law.

2. Minor can be a promise or beneficiary: - A minor can enforce such agreements in which he is a beneficiary or promise and does not create any obligation on his part.

3. No ratification: - A minor cannot be ratified even after attaining the age majority because void agreement cannot be ratified.

4. Restitution/ Compensation possible: - If a minor has received benefits under an agreement from the other party, the Court may require the minor to restore the benefit (so far as may be), to the other party at the time of rescission of the agreement. The minor may be asked to restore the benefit to the extent he or his estate has been benefited.

5. Contract by parent/ guardian/ manager: - A minor's parent/ guardian/ manager can enter into contract on behalf of the minor provided:

- i. The parent/ guardian/ manager acts within the scope of his authority; and
- ii. The contract is for the benefit of the minor.

6. No liability of parents: - The parents (guardian) of a minor are not liable for agreements made by their minor ward. However, they can be held liable if the minor makes agreement as their authorized.

7. Minor as an agent: - A minor is not entitled to employ an agent; he can be an agent himself for someone else. As an agent he can represent the principal, and bind him for his acts done in the course of agency. But the minor is not responsible to the principal for his acts.

8. Minor and insolvency: - A minor cannot be declared insolvent because he is not competent to contract.

9. Minor as joint Promisor: - A minor can be a joint promisor with a major, but the minor cannot be held liable under the promise to the promisees as well as to his co-promisor. But the major promisee cannot escape liability. The major joint promisor can be forced to perform the promise.

10. Minor shareholder: - A minor can become a shareholder or member of a company if (a) the shares are fully paid up and (b) the articles of association do not prohibit so.

11. Liability for necessities of life: - A minor is incompetent to contract. A minor, therefore, is not personally liable for the payment of price of necessities of life supplied to him or to his legal dependents. However, the person who has furnished such supplies is entitled to be reimbursed from the property of the minor.

12. Minor Partner: - According to the Partnership Act, 1932, a minor cannot make a contract of partnership though he may be admitted to its benefits with the consent of all the partners. A minor partner cannot be made personally liable for any obligation of the firm, but his share in the firm's property can be made liable.

13. No estoppels against minor: - The term 'estoppels' means prevention of a claim. When a minor enters into contract, representing that he is a major, but in reality, he is not, then later on he can plead his minority as a defence and cannot be estopped (prevent) from doing so.

1.6 Consent

MEANING OF CONSENT Two or more persons are said to consent when they agree upon the same thing in the same sense at the same time.

MEANING OF FREE CONSENT Sec. 14 describes the cases when the consent is not free. It lays down that consent is not free if it is caused by coercion, undue influence, fraud, misrepresentation, etc. if the consent is not free, the agreement is avoidable at the option of the party whose consent was not free.

1) COERCION

Coercion simply means forcing a person to enter in to a contract. Sec. 15 defines coercion as, “Committing or threatening to commit, any act forbidden by the Indian Penal Code, or unlawful detaining or threatening to detain, any property, to the prejudice of any person whatever with the intention of causing any person to enter into an agreement”.

The essential elements of coercion are

- (1) Committing or threatening to commit any act forbidden by Indian Penal Code.
- (2) Unlawful detaining or threatening to detain any property.
- (3) The act of coercion may be directed at any person and not necessarily at the other party to the agreement.
- (4) The act of coercion must be done with the object of inducing or compelling any person to enter into an agreement.

2) UNDUE INFLUENCE:

It is kind of moral coercion. Sec. 16(1) defines undue influence as, “A contract is said to be induced by undue influence where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of other and uses that position to obtain an unfair advantage over the other”.

- (a) Where he holds a real or apparent authority over the other e.g., in the relationship between master and servant.
- (b) Where he stands in fiduciary relation to the other. It implies a relationship of mutual trust and confidence.
- (c) Where a contract is made with a person whose mental capacity is affected by reason of age, illness, or mental or bodily distress.

Any innocent or unintentional false statement or assertion of fact made by one party to the other during the course of negotiation of a contract is called a misrepresentation.

3) MISREPRESENTATION As per Sec. 18, misrepresentation is a wrong statement of fact made innocently, i.e., without any intention to deceive the other party. It may be caused.

- (1) By positive statement.
- (2) By breach of duty.
- (3) By mistake regarding the subject matter of the agreement.

Essential of misrepresentation

- (1) There must be a representation or omission of a material fact.

(2) The representation or omission of duty must be made with a view to inducing the other party to enter into contract.

(3) The representation or omission of duty must have induced the party to enter into contract.

(4) The representation must be wrong but the party making the representation should not know that it is wrong.

4) **FRAUD:** Fraud is the intentional misrepresentation or concealment of material facts of an agreement by a party to or by his agent with an intention to deceive and induce the other party to enter into an agreement. Sec. 17 defines fraud as, any of the following acts committed by a party to a contract (or with his connivance or by his agent) with intention to deceive another party thereto (or his agent) or to induce him to enter into the contract.

(1) The suggestion that a fact is true when it is not true by a person who does not believe it be true.

(2) The active concealment of the fact by a person having knowledge or belief of the fact.

(3) A promise made without any intention to perform it.

(4) Any other act fitted to deceive.

(5) Any such act or omission as the law specifically declares to be fraudulent

5) **MISTAKE:**

Acc. To Sec. 20 mistake means erroneous belief concerning some fact. The parties are said to consent when they agree upon the same thing in the same sense. If they do not agree upon the agreement in the same sense, there will be no contract.

When the consent of one or both the parties to a contract is caused by misconception or erroneous belief, the contract is said to be induced by mistake

Mistake may be of following types:

(1) Mistake of law,

(a) Mistake of law of the country.

(b) Mistake of foreign law.

(c) Mistake of private rights of the parties

(2) **Mistake of fact,**

(A) **Bilateral Mistake:**

(1) Mistake as to subject matter:

(a) Mistake regarding existence

(b) Mistake regarding identity

- (c) Mistake regarding title.
- (d) Mistake regarding price
- (e) Mistake regarding quality
- (f) Mistake regarding quantity
- (2) Mistake as to the possibility of performance
- (a) Physical impossibility
- (b) Legal impossibility
- (B) Unilateral Mistake:**
- (1) Mistake as to identify of the person contracted with.
- (2) Mistake as to the nature of contract.

1.7 Consideration

Meaning

Consideration is one of the essential elements to support a contract. The law enforces only those promises which are made for consideration. Where one party promises to do something, it must get something in return. This something in return is called consideration. In everyday language, a consideration means ‘something for something’. If a person does, or promises to do, something, he expects (and is promised) something in return – which is the quid pro quo or compensation – without which the promise is not valid. This something is called consideration. Consideration is the price that is paid for buying somebody’s promise. A consideration may be a profit or loss, a benefit or damage, or an obligation.

Definitions

According to Pollock, “consideration is the price for which the promise of other is bought and the promise thus given for value is enforceable.”

A most commonly accepted definition of consideration is given in the famous English case *Currie v. Misa* as “Some right, interest, profit or benefit accruing to one party or some forbearance, detriment, loss or responsibility, given, suffered or undertaken by the other”.

Section 2 (d) of the Indian contract Act defines consideration as, “when at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or

abstains from doing, or promises to do or abstain from doing something, such act or abstinence or promise is called a consideration for the promise”.

Essential Elements of Valid Consideration

As per the definition in Section 2 (d), a consideration has the following essential elements:

1. It must move at the Desire of the Promisor: Any act or abstinence constituting consideration must have been done at the desire or request of the promisor. If it is done at the instance of a third party or without the desire of the promisor, it will not be a good consideration. The desire of the promisor may be express or implied.

2. It must move from the promisee or any other person: Under the English law, consideration must move from the promisee. Under the Indian law, consideration may, move from the promise or any other person, i.e., even a stranger. This means that as long as there is consideration for a promise it is immaterial who has furnished it. But the stranger to consideration will be able to sue only if he is a party to the contract. In the case of *Chinnayya vs. Ramayya*, a father left his entire property to his daughter under the condition that she will pay a certain amount of money annually to her uncle (i.e., father’s younger brother). The daughter promised to pay the agreed amount annually, but stopped doing it after a time on the plea that no consideration moved from her uncle to herself, but the plea was rejected by the court. It was held that an indirect consideration had moved from her uncle. The law stipulates that ‘a stranger to consideration can sue but a stranger to a contract cannot’.

3. Consideration may be past, present or future: The words used in Section 2 (d) — has done or abstained from doing (past); or does or abstains from doing (present); or promises to do or to abstain from doing (future) — indicates that consideration may be past, present or future. The Indian Contract Act recognises past, present and future considerations whereas the English law does not recognize a past consideration.

When the consideration for a present promise was given before the date of promise, it is said to be **past consideration**. A past consideration, if given at the request of the promisor will support a subsequent consideration. When the consideration for a promise is given simultaneously with the promise, it is called **present or executed consideration**. A present consideration consists in doing or abstaining from doing something.

A **future or executory consideration** is a promise to do or give something in return in future for the promise then made. It is also called a promise for the promise.

4. Consideration need not be adequate: Consideration means ‘something in return’. This ‘something in return’ need not necessarily be equal in value to ‘something given. The law simply provides that a contract should be supported by consideration. So long as consideration exists, the courts are not concerned as to its adequacy, provided it is of some value. Adequacy is for the parties to decide at the time of making the agreement. Inadequacy is no ground for refusing the performance of the promise, unless it is evidence of fraud.

5. Consideration must be real and not illusory: Though consideration need not be adequate, yet it must be real and not illusory. Thus, a promise to do that which a person is by law bound to do, does not amount to consideration. Consideration has also to be competent. If it is physically impossible, vague or legally impossible, uncertain or illusory, the contract cannot be enforced. Thus, a promise by a man to make two parallel lines meet is no good consideration.

6. Consideration must be lawful: The consideration for an agreement must be lawful. An agreement is void, if it is based on unlawful consideration. The consideration of an agreement is lawful unless

- i) It is forbidden by law, or
- ii) is of such a nature that if permitted it would defeat the provisions of any law, or
- iii) is fraudulent, or
- iv) involves or implies injury to the person or property of another, or
- v) the court regards it as immoral or opposed to public policy.

7. Consideration must be something which the promisor is not already bound to do: A promise to do what one is already bound to do, either by general law or under an existing contract, is not a good consideration for a new promise. There will be no detriment to the promisee or benefit to the promisor over and above their existing rights or obligations.

No Consideration No Contract – Exceptions

Every agreement to be enforceable at law must be supported by valid consideration. The general rule is *ex nudo non oritur action*, i.e., an agreement made without consideration is void and is unenforceable except in certain cases. Sections 25 and 185 deals with the exceptions to

this rule i.e., it specifies the cases where an agreement though made without consideration will be valid.

These cases are:

1. Natural Love and Affection [Section 25(1)]: Where an agreement is expressed in writing and registered under the law for the time being in force for the registration of documents and is made on account of natural love and affection between the parties standing in a near relation to each other, it is enforceable even if there is no consideration. In simple words, a written and registered agreement based on natural love and affection between near relatives is enforceable even if it is without consideration [Ram Dass v. KrishanDev, A.I.R (1986) H.P.9]. In the case *Rajlukhy vs. Bhootnath*, a Hindu husband, after referring to quarrels and disagreements between himself and his wife, promised to pay a certain amount as allowance to his wife vide a written document that was duly registered; but the court held the agreement void since the essential element of love and affection between the parties was missing.

2. Compensation for Services Rendered [Sec. 25 (2)]: A promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or has performed an act for which the promisor was legally bound, is a valid contract even without consideration. But it is essential in this case that the act must have been voluntary, and done for the promisor who was in existence when the act was done, and must not have been done without expecting any consideration. In simple words, a promise to pay for a past voluntary service is enforceable. For example, P finds Q's purse and gives it to him. Q promises to give P Rs. 200. This is a contract. If M voluntarily supports N's infant son, and N promises to compensate m for the expense incurred in doing so, it would be a valid contract by law.

3. Time – barred Debt [Sec. 25 (3)]: According to section 25 (3), a promise by a debtor to pay a time –barred debt is enforceable provided it is made in writing and is signed by the debtor or his agent generally or specially authorized on his behalf. For example, A owes Rs. 2,00,000 to B, but the debt is time-barred under the Law of Limitation. Even so, if A gives a written promise to B to pay Rs. 1,00,000, it is deemed a valid contract.

4. Completed gifts [Exp. 1 to Sec. 25]: Explanation 1 to section 25 provides that the rule 'NO consideration, No Contract' shall not affect validity of any gifts actually made between the donor and the donee. Thus, if a person gives certain properties to another according to the provisions of the Transfer of Property Act, he cannot subsequently demand the property back

on the ground that there was no consideration.

5. Agency (Sec. 185) According to Section 185 of the Indian Contract Act, no consideration is necessary in a contract of agency. A person who works as an agent for another is not legally entitled to a consideration unless there is an agreement to such effect between the concerned parties.

6. Guarantee (Sec.127): A contract of guarantee is made without consideration.

7. Remission (Sec.63): No consideration is required for an agreement to receive less than what is due. This is called remission in law.

8. When the promise is for a gift or donation: Such a promise does not entail a consideration. Therefore, a promisor of a gift or donation is not liable to keep his promise and cannot be enforced to do so.

STRANGER TO A CONTRACT Though a stranger to consideration can use because the consideration can be furnished or supplied by any person whether he is the promises or not, but a stranger to a contract cannot sue because of the absence of privity of contract (i.e. relationship subsisting between the parties to a contract).

1.8 Performance of Contracts

Introduction:

A contract places a legal obligation upon the contracting parties to perform their mutual promises, and it carries on until the discharge or termination of the contract. The most natural and usual mode of discharging a contract is to perform it. A person who performs a contract in accordance with its terms is discharged from any further obligations. As a rule, such performance entitles him to receive the other party's performance.

Exact and complete performance by both the parties puts an end to the contract. In expecting exact performance, the courts mean that, performance must match contractual obligations. In requiring a contract to be complete, the law is merely saying that any work undertaken must be carried out to the end of the obligations.

A contract should be performed at the time specified and at the place agreed upon. When this has been accomplished, the parties are discharged automatically and the contract is discharged eventually. There are, however, many other ways in which a discharge may be brought about. For example, it may result from an excuse for non-performance. In certain cases attempted

performance may also operate as a substitute for actual performance, and can result in complete discharge of the contract.

Meaning of Performance of Contract,

The term 'Performance of contract means that both, the promisor, and the promisee have fulfilled their respective obligations, which the contract placed upon them.

For Ex A visits a stationery shop to buy a calculator. The shopkeeper delivers the calculator and A pays the price. The contract is said to have been discharged by mutual performance.

Section 27 of Indian contract Act says that the parties to a contract must either perform, or offer to perform, their respective promises, unless such performance is dispensed with or excused under the provisions of this Act, or any other law.

Promises bind the representatives of the promisor in case of the death of the latter before performance, unless a contrary intention appears in the contract.

Thus, it is the primary duty of each contracting party to either perform or offer to perform its promise. For performance to be effective, the courts expect it to be exact and complete, i.e., the same must match the contractual obligations. However, where under the provisions of the Contract Act or any other law, the performance can be dispensed with or excused, a party is absolved from such a responsibility.

Example: - A promises to deliver goods to B on a certain day on payment of Rs 1,000. A expires before the contracted date. A's representatives are bound to deliver the goods to B, and B is bound to pay Rs 1,000 to A's representatives.

Types of Performance:

Performance, as an action of the performing may be actual or attempted.

- **Actual Performance** When a promisor to a contract has fulfilled his obligation in accordance with the terms of the contract, the promise is said to have been actually performed. Actual performance gives a discharge to the contract and the liability of the promisor ceases to exist.

For example, A agrees to deliver 10 bags of cement at B's factory and B promises to pay the price on delivery. A delivers the cement on the due date and B makes the payment. This is actual performance.

Actual performance can further be subdivided into substantial performance, and partial Performance

- **Substantial Performance** This is where the work agreed upon is almost finished. The court then orders that the money must be paid, but deducts the amount needed to correct minor existing defect. Substantial performance is applicable only if the contract is not an entire contract and is severable. The rationale behind creating the doctrine of substantial performance is to avoid the possibility of one party evading his liabilities by claiming that the contract has not been completely performed. However, what is deemed to be substantial performance is a question of fact to be decided in both the case. It will largely depend on what remains undone and its value in comparison to the contract as a whole.
- **Partial Performance** This is where one of the parties has performed the contract, but not completely, and the other side has shown willingness to accept the part performed. Partial performance may occur where there is shortfall on delivery of goods or where a service is not fully carried out.

There is a thin line of difference between substantial and partial performance. The two following points would help in distinguishing the two types of performance.

Partial performance must be accepted by the other party. In other words, the party who is at the receiving end of the partial performance has a genuine choice whether to accept or reject. Substantial performance, on the other hand, is legally enforceable against the other party.

Payment is made on a different basis from that for substantial performance. It is made on quantum meruit, which literally means as much as is deserved. So, for example, if half of the work has been completed, half of the negotiated money would be payable. In case of substantial performance, the party that has performed can recover the amount appropriate to what has been done under the contract, provided that the contract is not an entire contract. The price is thus, often payable in such circumstances, and the sum deducted represents the cost of repairing defective workmanship.

- **Attempted Performance** When the performance has become due, it is sometimes sufficient if the promisor offers to perform his obligation under the contract. This offer

is known as attempted performance or more commonly as tender. Thus, tender is an offer of performance, which of course, complies with the terms of the contract. If goods are tendered by the seller but refused by the buyer, the seller is discharged from further liability, given that the goods are in accordance with the contract as to quantity and quality, and he may sue the buyer for. Breach of contract if he so desires. The rationale being that when a person offers to perform, he is ready, willing and capable to perform. Accordingly, a tender of performance may operate as a substitute for actual performance, and can affect a complete discharge.

In this regard, Section 38 of Indian Contract Act says:

‘Where a promisor has made an offer of performance to the promisee, and the offer has not been accepted, the promisor is not responsible for non-performance, or does he thereby lose his rights under the contract. For example, A contracts to deliver to B, 100 tons of basmati rice at his warehouse, on 6 December 2015. A takes the goods to B’s place on the due date during business hours, but B, without assigning any good reason, refuses to take the delivery. Here, A has performed what he was required to perform under the contract. It is a case of attempted performance and A is not responsible for non-performance of B, nor does he thereby lose his rights under the contract.’

1.9 Discharge of Contracts

When the rights and obligations arising out of a contract are extinguished, the contract is said to be discharged or terminated. A contract may be discharged by any of the following ways:

1. By performance – Actual or Attempted.
2. By mutual consent or agreement.
3. By subsequent or supervening impossibility or illegality.
4. By lapse of time.
5. By operation of law.
6. By breach of contract.

1. Discharge by Performance-

Performance of a contract is the most popular manner of discharge of a contract. The performance may be either Actual performance or Attempted performance.

A. Actual performance: -When each party fulfils his obligations arising out of the contract within the time and in a manner prescribed, it is called the actual performance and the contract comes to an end.

B. Attempted performance or Tender: -When the promisor offers to perform his obligation, but is unable to do so because the promisee does not accept the performance, it is called “**Attempted Performance**” or “**tender**”. Thus, tender is not actual performance but is only an offer to perform the obligation under the contract. **A valid tender of performance is equivalent to performance.**

Essentials of a valid tender: -if it fulfils the following conditions

1. It must be unconditional. If A who is a debtor of company B, offers to pay if shares are allotted to him at par. IT is not a tender.
2. It must be made at proper time and place:- A is tenant of B. H offers him rent at a marriage party. B is not bound to accept as tender is not made at a proper place.
3. It must be of the whole obligation contracted for and not only of the part:- e.g. deciding of his own to pay in the instalments and offering the first instalment was held invalid tender as it was not of the whole amount due .
4. If the tender related to the delivery of goods, it must give a reasonable opportunity to the promisee for inspection of goods so that he may be sure that the goods tendered are of contract description.
5. It must be made by a person who is in a position and is willing to perform the promise.
6. It must be made to the proper person i.e. the promisee or his authorized person.
7. If there are several joint promisees, an offer to any one of them is a valid tender (but the actual payment must be made to all joint promisees, and not to any one of them.)
8. In case of tender of money, exact amount should be tendered in the legal tender money.

Effect of refusal to accept a valid tender: The effect of refusal to accept a properly made “**offer of performance**” is that the contract is deemed to have been performed by the promisor. And the promisee can be sued for breach of contract. Thus we can say that “**a valid tender discharges the contract.**”

2. Discharge by Mutual Consent or Agreement:

A contract is created by means of an agreement; it may also be discharged by another agreement between the same parties.

A. Novation: “Novation occurs when a new contract is substituted for an existing contract, either between the same parties or between different parties, the consideration mutually being the discharge of the old contract.” If the parties are same, then small changes in the in the terms of contract is called “alteration” and not “Novation”. For being “Novation”, the changes must be of significant nature. Novation cannot be compulsory; it can only be with the mutual consent of all the parties.

B. Alteration: -It means that change of one or more of the material terms of a contract. A material alteration is one which alters the legal effect of the contract. e.g. change in the amount of money, change in the rate of interest etc.

Note that a material alteration made in a contract by one party without the consent of the other will make the whole contract void and no person can maintain an action upon it.

C. Rescission. A contract may be discharged before the date of performance, by agreement between the parties to the effect that it shall no longer bind them. Such an agreement amounts to “**Rescission**” or cancellation of the contract, the consideration being the abandonment by the respective parties of their rights under the contract. Example A promises to deliver some goods to B on say 14th Nov. 2006. But before the date of performance i.e. 14th Nov. 2006, A and B mutually agree that the contract will not be performed. The contract stand discharged by rescission.

If there is non-performance of a contract by both the parties for a long time without complaint, it amounts to an implied rescission.

Note: In rescission, the existing contract is cancelled by mutual consent without substituting a new contract in its place.

D. Remission. It is defined as “Acceptance of lesser amount than what was contracted for or a lesser fulfillment of the promise made”

E. Waiver. It means deliberate giving up of a right which a party is entitled to under a contract whereupon the other party to the contract is released from his obligation. Example A promises to stitch a Shirt for B if B sings a song in A’s party and accepting it B sings a song in A’s party.

Then later on B says there is no need to stitch shirt for me, to which A gives his consent. Thus the contract is terminated.

3. Discharge by Subsequent or Supervening Impossibility or Illegality.

Impossibility at the time of contract. If you contract for something impossible, the agreement is void *ab initio* the promisor knows about the impossibility after using reasonable efforts, the promisor is bound to compensate the promisee for any loss he may suffer because of non-performance of the promise, even if the agreement being void *ab initio*

Subsequent impossibility. Impossibility is found out after the contract is made, “A contract to do an act which, after making the contract, becomes impossible or unlawful, becomes void when the act becomes impossible or unlawful.”

Conditions for It...

- (i) the act should have become impossible.
- (ii) The impossibility should be by reason of some event which the promisor could not prevent.
- (iii) the impossibility should not be self-induced by the promisor or due to negligence.

To be impossible, it is sufficient that it becomes impracticable or extremely hazardous or useless from the point of view of the object and purpose which the parties had in view, If the performance of a contract becomes impossible by reason of supervening impossibility or illegality of the act, it's logical to absolve the parties from further performance of it as they never did promise to perform an impossibility.

4. DISCHARGE BY LAPSE OF TIME.

In some circumstances, the laps of time may also discharge a contacts, e.g. the period of limitation for simple contracts is three years the under limitation Act and therefore on default by a debtor, if the creditor does not file a suit of recovery against him within three years of default, the debt becomes time barred and the creditor will not get the help of the law. This in effect discharges the contract. ‘Where times is of essence’, if the contract is not performed on time, the contract comes to an end, and the party not at fault need not perform his obligation and may sue the other party for damages.

5. DISCHARGE BY OPERATION OF LAW:

A contract is discharged by operation of law in the following cases:-

(A) Death: Sometimes a contract is of a personal nature and involves personal skills, of promiser, of promisor, In such cases the contract is discharged on the death of the promisor. In such cases the contract is discharged on the death of the promisor.

(B) Insolvency: When a person is adjudged insolvent he is released from his all liabilities in current order of adjudication. His rights (Assets) and liabilities are transferred to the official assignee or official receiver, on the case may be.

(C) Merger of rights: Sometimes, inferior right of a person under the some or other contract, in such a case the inferior, right is vanished and is not required to be enforced, For example an ordinary debt can be merged. In to rights, of ownership in such case the inferior right need not to be enforced because this right have merge in to a superior right of mortgage or ownership.

(D) Loss of evidence of contract: - There the evidence of the existence of the contract is lost or vanished. The contract is discharged for example document of contract is lost or destroyed and no other evidence is available the contract is discharged.

6. DISCHARGE BY BREACH OF CONTRACT: -

A contract is sometimes discharged, by its breach generally, Breach of contract means refused. Or future of any one party to perform his contractual obligation under the contract specifically a breach of contract occurs when a party to a contract does any of the other following things.

(1) Fails or refuses to perform his obligation under the contract.

(2) Disable himself from performing his part of the contract.

(3) Make the performance of contract impossible by his own acts.

1.10 Breach of Contract and Quasi Contracts.

BREACH OF CONTRACT

When one of the contracting parties fails to uphold the terms of the agreement, there has been a breach of the agreement. Even when the contract is not being performed as agreed, there is still a breach. However, such a breach of contract has several remedies that give the injured party compensation for damages. This article discusses contract breaches, including their varieties and available remedies.

When one party doesn't carry out their obligations under a contractual contract, there has been a breach of the agreement. A contract can be broken in a number of ways, including by failing

to provide the promised goods or services, by providing goods or services that fall short of expectations, or by failing to make the agreed-upon payments for the promised products or services.

- The non-breaching party normally has to demonstrate the following in order to prove a contract breach:

1. There was a binding agreement between the parties.
2. The non-breaching party fulfilled its contractual responsibilities.
3. The breaching party did not fulfil its contractual responsibilities.
4. Damages were incurred by the non-breaching party as a result of the breach.

It is crucial to remember that not all contract violations are created equal. While some breaches may be small and have little or no effect on the contract's performance, others could be so serious that they invalidate the entire agreement. The exact terms of the contract and the circumstances surrounding the violation will determine the seriousness of the breach and the potential remedies.

TYPES OF CONTRACT BREACH

There are two categories of breach of contract. Its varieties are as follows:

Anticipatory

The anticipatory breach is one caused by one of the parties. The violation will take place either explicitly or by behaviour. Eventually, the offending party will hint that a breach is about to occur. If there is compensation and the injured party waits for the actual breach, the loss will not be sufficient.

In the *Hochster v. De La Tour* case, it was determined that if the contract is rejected before the performance, a claim for damages may be filed. De la Tour consents to hire Hochster as their for a period of three months in accordance with that. Hochster is hired by De La Tour in April with a start date of June. But by May, De La Tour cancels the appointment. Suing them is Hochster. De La Tour contends that Hochster is bound by the agreement and that he must be prepared to fulfil up until the three months are due. However, Lord Campbell CJ rejects the claim and grants Hochster the damages.

Actual

A breach occurs when a party refuses to uphold the terms of the agreement. One of the parties breaches the agreement if they fail to finish their performance by the deadline or withdraw before it is due.

For three months, Poussard was scheduled to perform opera in London. When she became ill, the production team found a replacement. When she returned, the producers declined to take her back. As it was determined that the producers' defence was valid, the court sided with them. She was not given the damages by the court. She is obligated to perform starting on day one, according to the contract. The producers rejected her contract since she didn't follow the terms of the agreement.

REMEDIES FOR THE BREACH OF CONTRACT:

Suit for Rescission If one side breaks the agreement, the other party is not required to follow it. If the displeased party terminates the agreement, it is void. The party that was wronged may claim damages. The disgruntled party typically cancels the contract and then files a lawsuit for damages. The purpose of this lawsuit is to recover the breach's damages.

Suit for Injunction An injunction is an order from the court imposing a restraint. The court has the authority to stop someone from performing a certain act. The harmed party may initiate a lawsuit for an injunction if the defendant does an unlawful act. This might be either transitory or long-term.

Suit for Specific Performance A sanction that the court grants to both parties to compel compliance with the contract. One of the most popular suits is this one. The harmed party won't get enough relief in the form of financial recompense.

Suit for Quantum Meruit For contracts, "quantum meruit" refers to the fair market worth of the services. When someone is hired but the contract isn't complete or can't be carried out, the employer has the right to sue the employee for the value of the services provided as well as any enhancements that were made. According to the law, the employer must give the worker the compensation he or she deserves for the services rendered. The employee cannot break the terms of the contract and file a claim for the quantum meruit if he is bound by an express contract for a specified sum.

Suit for Damages Damages that result naturally from a violation are referred to as general damages or ordinary damages. In the lawsuit, the party that was wronged must establish both the losses and their dollar value.

Liquidated Damages and Penalty: Some contracts cover the subject of breaking, including its repercussions and penalty. If such a contract is broken, the party responsible for the breach must pay the other party the agreed-upon sum. It is fair remuneration, and it shouldn't go beyond the limit specified in the contract. There shouldn't be any barriers in the way of the parties making the liquidated damages provisions.

Special Damages: In order to receive special damages, the party who was wronged must demonstrate a special loss.

Exemplary or Punitive Damages: This claim seeks compensation for emotional or mental distress, which may have been caused by the violation. In most cases, the court is responsible for such damages.

Nominal Damages: A remedy for the breach is offered, whereas there wasn't one in the actual. It offers a limited solution and is more technical than necessary.

QUASI CONTRACTS:

A contract that is established by a court to stop one party from unfairly enriching themselves at the expense of another is referred to in law as a quasi-contract, also known as an implied-in-law contract. It is a legal fallacy used to impose a contractual obligation on a party that didn't formally agree to a contract but nonetheless received something of value from the other party.

The doctrine of quasi-contracts has its roots in the unjust enrichment doctrine of classical Roman law. This doctrine's fundamental tenet is that no one should be permitted to profit from another's loss without making up for it.

In contemporary law, quasi-contracts are frequently employed to offer a remedy when one party has given another party goods or services but the parties haven't actually entered into a contract. A party cannot be unjustly benefited by receiving a benefit from another party by using quasi-contracts to prevent this from happening.

How Do Quasi Contracts Work?

A contract that is inferred by law and serves as a redress in disputes between parties without a contract is known as a quasi-contract. A quasi contract is a judicially determined legal duty for one party to make restitution to the other, as opposed to a typical contract. In other words, a quasi-contract is a decision that is made in the past to fix a situation where one-party gains something at the expense of the other.

These agreements may be imposed when a party accepts products or services that may not have been requested. The providing party therefore has an expectation of being paid as a result of the acceptance.

Knowledge about Quasi Contracts

In common-law states, quasi contracts date back to the Middle Ages and were first used to describe a legal action known as *indebitatus assumpsit*, which means to be indebted or to have taken on a debt in Latin.

Using this legal theory, the courts were able to force one party to make the other pay as if there had already been a contract or other agreement between them. Therefore, it is believed that the law implies that the defendant must abide by the terms of the trade. The quasi contract has typically been used to impose restitution obligations since its inception.

It would be decided that the defendant must compensate the plaintiff. *Quantum meruit*, or the amount deserved, is the Latin term for restitution, and it refers to the amount or degree to which the defendant was unjustly profited.

Because a judge creates this remedy when a contract between two parties is not present, it is sometimes known as a constructive contract. A court won't make a pseudo contract if there is already an agreement or contract in existence because there is no reason to do so.

Elements of a Quasi-Contract

In order for a court to determine that a quasi-contract exists, the following conditions must be satisfied:

Benefit Received: One party must have gotten something from the other as the first requirement of a quasi-contract. The advantage may come in the shape of products, services, or real estate.

The recipient of the benefit must have been unjustly enriched, which is the second requirement of a quasi-contract. This indicates that they benefited at the expense of another party without having a valid legal justification for doing so.

Legal Obligation: A quasi-contract must have a legal obligation to pay for the benefit received as its third component. This obligation is governed by a court order and not by a written agreement between the parties.

Purpose

When one party receives a benefit or piece of property from another, a quasi-contract describes the responsibility of the first party to the second. Without a written contract, a person may provide anything of value to another without their knowledge or consent. It is presumed that a reasonable individual would pay for it, return it, or provide some other kind of payment to the giver in exchange for the good or service.

In order to protect a giver from exploitation and prevent others from unfairly benefiting, quasi contracts are granted as a remedy.

Legality

Neither party is required to consent to the agreement because it was created in a court of law and is therefore enforceable.

When one side has an advantage over another, the quasi-contract is intended to produce a fair result. The plaintiff, the person who was wronged, is entitled to compensation equal to the worth of the item from the defendant, the party who gained it.

Requirements

A judge must have the following conditions before issuing a quasi-contract:

- A transfer must have resulted in a loss for one person, the plaintiff.
- The defendant must have either received the valuable item or admitted receiving it, kept it, and made no attempt or offer to pay for it.
- The burden of proof then shifts to the plaintiff to show why the defendant received an unjust enrichment.
- The product or service was not presented as a gift.
- It was necessary to give the defendant the option to accept or reject the benefit.

CONTRACT VS. QUASI-CONTRACT

Quasi-contract	Contract
That Is Only Implied in Law	Can Be Express or Implied
Ordered by a Judge	Initiated by Party Agreement

No Contract Exists	A Legal Contract Exist
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Quasi Contract

Only Implied in Law: An implied duty to pay is one that is made possible by the law, in this case, a judge who provides a remedy.

Ordered by a Judge: Since contracts implied by law are not covered by contract law, judges order quasi-contracts.

No Contract Exists: Quasi contracts are not contracts; rather, they are means of resolving disagreements between parties when one party has benefited unfairly.

Contracts

Can Be Express or Implied: Express and implied contracts are the two main forms of agreements. An express contract is one in which the conditions are specified and are accepted by both parties. When both parties agree to a trade but there are no clear stipulations, there is an implicit contract.

Agreement of the Parties: The parties to an exchange consent to the exchange.

Existence of a Legal Contract: Both express and implied contracts are regarded as valid and enforceable by law.

Quasi-Contract Types

Express and implied quasi-contracts are the two different varieties of quasi-contracts.

Express Quasi-Contracts: An express quasi-contract is created when two parties seek and receive products or services from one another without really entering into a contract. The court will infer a contract in this situation and order the party who benefited from it to pay for it.

Implied Quasi-Contracts: When one party receives a benefit from another without that party's agreement, but in conditions that make it unfair for the party to keep the benefit without paying for it, there is an implied quasi-contract. The court will infer a contract in this situation and order the party who benefited from it to pay for it.

- Sections 68 through 72 of the Contract Act of 1872 provide the following descriptions of the various forms of quasi contracts:

- Section 68: A third party provides the goods to a person who is unable to sign contracts on behalf of the incapable person or anyone he is legally required to support. The property of the disabled person may be used by other parties to recoup the supplier's cost.
- Section 69: Anyone who makes a payment on another party's behalf is required to do it in accordance with the law. As a result, the party who made the payment has a claim to compensation from the other.
- Section 70: The recipient is required to pay the first party when they perform a legal act for another person or deliver something without intending to do so gratuitously.
- A person who discovers goods that belong to another party and claims possession of them is subject to the same obligations as a bailee, according to Section 71.
- Section 72: A person who has been forced into accepting a payment or delivery or who received money in error is required to pay it back.

Quasi-contract examples

1. Auto Repair: Let's say you take your car to the shop for repairs, but you can't come to an agreement on the cost of the work. As a result of your disagreement over the price, the technician completes the repair and hands you the bill, which you decline to pay. The court can decide that a quasi-contract exists in this situation and order you to pay for the repair.

2. Landscape: Let's say you hire a landscaper to look after your lawn, but you can't come to an agreement on the cost of the services. You don't agree on the price, so the landscaper does the tasks and gives you a bill that you refuse to pay. The court can decide that a quasi-contract exists in this situation and order you to pay for the services.

3. Emergency Services: Let's say you need an ambulance to take you to the hospital for an urgent medical issue, but your condition prevents you from giving consent. The court can decide that a quasi-contract exists in this situation and order you to pay for the services.

Benefits and Drawbacks of Quasi Contracts

The fact that quasi contracts are frequently founded on the unjust enrichment principle is one benefit of employing them. As a result, no side will be given an unfair edge over another. As a result, it protects innocent victims of wrongdoing and serves as a legitimate substitute for monetary damages, ensuring that the provider of products or services is adequately reimbursed. As pseudo contracts are established by court order, all parties concerned are required to abide by them.

There are a few shortcomings or restrictions as well. The recipients of assistance who did so recklessly, needlessly, or by mistake will not be held accountable. A person can be held accountable for a quasi-contract, but his liability is limited to the amount he has been paid. Therefore, there is no provision for the recovery of an amount greater than that which has already been obtained by the plaintiff. If the plaintiff only receives a portion of the services or goods he originally contracted for, he is ineligible for compensation because the full sum was not recovered.

Plaintiffs are required to forfeit all profits if there is a written agreement between the parties. A plaintiff can only obtain relief if he can show that he experienced losses as a result of the defendant's breach of the contractual obligations, even if a quasi-contract is a legal remedy that protects recipients of the services or goods from unjust enrichment.

Pros

- Prevents one party from unfairly benefitting at the expense of another
- Court order is legally binding

Cons

- Not suitable in all cases
- Amount cannot include additional damages

Quasi Contracts: What Are They?

A quasi contract is sometimes referred to as a "implied contract," in which the defendant is required to pay the plaintiff back damages, or a "constructive contract," which is a contract that is created when there isn't already one between the parties.

What Exactly Is a Quasi Contract, Exactly?

Instead of being an agreement between the parties to prevent encroachment, a quasi-contract is an obligation between them that is established by a court order.

What Is an Example of a Quasi Contract?

As an illustration, suppose Person A agrees to pay \$100 to Person B to assist them in moving into a new flat. It is not a written contract; rather, it is an oral agreement. Person B agrees to the task, declines an alternative opportunity, and arrives on the designated day to assist with

the transfer. However, when Person B arrives, Person A informs them that they are no longer required and the work has been cancelled. Person B launches a civil lawsuit to recover the unpaid debt, and if the judge finds that money is owed, a quasi-contract may be established.

The conclusion

A defendant must act in accordance with the terms of a quasi-contract with the plaintiff if one exists. It is made to prevent unfairly enriching one party at the expense of the other. Unjust enrichment is when someone gains unfairly from events or someone else's misery. When a formal contract would not have existed otherwise, a judge will make a quasi-contract as a settlement after the event.